



ILLUSTRATION BY RAHUL SHARMA

repeatedly delayed payments yet have escaped scrutiny due to lobbying muscle, while informality has become a survival tactic for MSMEs.

At a time when trade and policy uncertainties in the West and geopolitical conflicts are prompting global firms to rethink their supply chain strategies, India has a rare window of opportunity. Countries and multinational companies alike are seeking resilient, efficient, and scalable alternatives in Asia, and India, standing at the forefront of that shortlist, should not miss the op-

portunities coming its way. To seize this moment, India must ensure that its MSMEs are not just present but prepared. This means giving them the tools, training, and financial backing to help them deal with constant financial struggles and scale up to meet global standards. Targeted collateral-free loans and equity infusion through Self Reliant India Fund to MSMEs with a proven track record of financial prudence, growth potential, and formal operations will provide them access to much-needed working capital. Digitisation will be a key component of

all such endeavours, as it will ensure transparent data capture and objective assessment to evaluate eligibility and impact. Additionally, upskilling the workforce and enabling technology adoption must become foundational efforts, not peripheral ones. To speed the reskilling of the workforce in MSMEs, technology centres should be built across India. This will help MSMEs adopt smart manufacturing and Industry 4.0 solutions equitably, further aided by SME 4.0 competency centres.

MSMEs, too, have to step up and ensure increased digitisation and take advantage of supportive policies. Some small businesses are concerned that recent changes in MSME definitions might disproportionately benefit larger companies. On the contrary, they should embrace challenges, recognising that their operational scale can serve as a foundation for business growth and expanded income opportunities.

Given the vast reach and deep penetration of MSMEs across India's economic landscape, the sector can be a pivotal driver in achieving the country's vision of inclusive and sustainable growth. Initiatives like the MSME GIFT scheme (which aims to support growth, innovation, and technology adoption), and MSE-SPIICE (a comprehensive platform for supply chain efficiency and cluster development) can unlock new potential for MSMEs to scale up responsibly. These initiatives, combined with a focus on sustainability, digitisation, and responsible finance, can transform MSMEs from survival-led enterprises to competitive and resilient engines of India's growth to Viksit Bharat. **BT**

Views are personal